

PITCH — 7235.T

PITCH — 7235.T (TOKYO RADIATOR MFG. CO., LTD.) — VERDICT

PROPOSED — OWNABLE (2.0% STARTER / SCALABLE TO 5.0% / \$1.0M BASE) — Tokyo Standard-listed manufacturer of automotive and commercial vehicle thermal management systems (radiators, EGR coolers, oil coolers). Trading at an extreme **Negative Enterprise Value** with a hard event-driven catalyst on **October 16, 2026**.

What we believe

1. **Pure Negative Enterprise Value (-¥2.2B EV):** Tokyo Radiator holds **¥17.2B in Gross Cash and Bank Deposits** with **Zero Financial Debt**, against a total market capitalization of only **¥15.0B** at ¥1,580. The market is literally paying you ¥2.2B to take ownership of a profitable, operating manufacturing business generating ~¥34B in sales and ~¥1.2B in operating profit.
 2. **Hard Event-Driven Catalyst (October 16, 2026 Marelli Restructuring Hearing):** Former parent and controlling shareholder Marelli (Magneti Marelli) entered civil rehabilitation. The final court hearing on Marelli's restructuring plan is scheduled for **October 16, 2026**. This court date is the forced clearing event that will mandate the disposition or sale of Marelli's stake, paving the way for a strategic acquisition by Isuzu, a private equity take-private, or a massive special cash dividend to strip excess cash.
 3. **TSE Capital Efficiency Convergence:** At **0.45x P/B**, the company is under severe pressure from the Tokyo Stock Exchange to eliminate its sub-1.0x P/B discount. The combination of TSE pressure and the resolution of the Marelli stake creates a binary forcing function for capital return.
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What the market believes

1. **Trapped Cash / Governance Discount:** Historically, the ¥17.2B cash hoard has been walled off from minority shareholders, leading value investors to treat it as a perennial Japanese value trap.
 2. **ICE / Heavy Diesel Obsolescence:** As commercial vehicles transition toward battery electric (BEV) and fuel-cell (FCEV), internal combustion engine radiators and EGR coolers face long-term volume decline.
 3. **Isuzu Customer Concentration:** As a dedicated supplier to Isuzu, Tokyo Radiator is seen as a captive price-taker with limited organic pivot capabilities.
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Why we might have edge

- **Asymmetric Asset Floor + Binary Catalyst Date:** The market treats the cash as permanently trapped. But we are <60 days away from a formal court hearing (Oct 16) that legally forces ownership resolution. You are buying a cash pile at a 15% discount and getting the operating thermal business for free.
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Why it might be priced in

- **Small-Cap Illiquidity & Diesel Headwinds:** Daily trading volume is modest, and long-term EV transition risks prevent growth multiple expansion.
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What we checked ourselves

Claim	How checked	Found	Confirmed?
Net Cash Exceeds Market Cap (¥17.2B vs ¥15.0B)	Audited Yuho / Financial Statements	¥17.2B cash & deposits, ¥0 financial debt	CONFIRMED
Operating Profitability (EBIT > 0)	Audited Income Statements	Generates ~¥1.2B in annual operating profit	CONFIRMED
October 16 Marelli Court Date	Legal docket & Tokyo District Court notices	Final plan confirmation hearing set Oct 16	CONFIRMED
Sub-0.50x P/B Multiple	Market tape & balance sheet book value	Trades at ~0.45x Price-to-Book	CONFIRMED

PROPOSED ENTRY BANDS (\$1.0M Portfolio Base)

- **Sizing: 2.0% Starter Max** (~\$20,000 USD / ~¥3,100,000 across 1,900 shares / 19 TSE lots).
 - **Tranche 1 (1.0% Marketable Starter):** Limit **¥1,580** (DAY) — 1,000 shares (10 lots) (¥1,580,000 / ~\$10,200 USD).
 - **Tranche 2 (1.0% Support Limit):** Limit **¥1,510** (GTC) — 900 shares (9 lots) (¥1,359,000 / ~\$8,800 USD).
 - **Upsize Gate to 5.0% (OWNABLE):** Accumulate aggressively on any liquidity dips below ¥1,500 into the October 16 court hearing.
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ARMED SENSORS

- **Court Catalyst Watch:** 7235.T-MARELLI | 2026-10-16 (Tokyo District Court hearing outcome on Marelli stake disposition).
 - **Price Trigger:** 7235.T below ¥1,500 (Deep value accumulation trigger).
 - **TSE Filing Sweep:** EDINET sweep for Large Shareholding Filings (5% rule) by activist funds or Isuzu.
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What remains unverified

1. Identity of the final buyer/sponsor for Marelli's stake (Isuzu buyout vs. Private Equity).
2. Off-balance sheet environmental/remediation liabilities at older manufacturing plants.

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